2020–21 in this category was Rs 11.45 lakh crore, or 37.14 per cent of budgeted expenditure.

Category C had the maximum number of fifty-two demands. This category included most economic, infrastructure and social development ministries and departments but were subjected to the minimum ceiling of total expenditure of 15 per cent of the annual budget in the first quarter, with expenditure in any single month not exceeding 5 per cent. The ministries and departments directly concerning labour and small businesses like Labour and Employment, Skill Development and Entrepreneurship and MSMEs are also part of this group. Budgeted expenditure for 2020–21 in this category amounted to only Rs 5.01 lakh crore, or 16.24 per cent.

Of the budgeted discretionary expenditure of Rs 30.42 lakh crore for financial year 2020–21, a budget of only Rs 14.39 lakh crore was of a discretionary nature; the rest being of a mandatory nature like interest, establishment expenditure, etc. Discretionary expenditure under Category B was Rs 4.69 lakh crore and under Category C Rs 4.50 lakh crore. As only categories B and C were subjected to cuts, the ministries and departments controlling eighty-three of the 100 demands actually had only Rs 9.19 lakh crore of discretionary budget to achieve their targeted cuts. Most of these discretionary expenditures were growth-oriented; the axe fell hardest on these.

The 8 April order remained in force during the entire first half of the financial year.

Government’s Contractionary Stance Post COVID-19 Worked in First Half 2020–21

The Central government has been able to spend about 25–30 per cent of annual Budget expenditure in the first quarter since 2017–18, the year when the Budget was presented on 1 February for the first time. At a rate of 30 per cent, actual expenditure in the first quarter would have been Rs 9.25